

TCI Express saw a hit on EBITDA margin due to lower utilisation @ 83% vs 85% last quarter ; Long term revenue guidance of Rs.20Bn by 2025 is revised to 19Bn (In our opinion seems unachievable at current run-rate)

- Revenue at ₹3,144 Mn vs ₹2,869 Mn (+9.6% YoY) vs ₹3,099 Mn (+7% QoQ). (Entirely volume led ; meagre price hike of 0.5%)
- EBITDA at ₹461 Mn vs ₹472 Mn (-2.3% YoY) vs ₹515 Mn (-10.5% QoQ)
- EBITDA Margin at 14.6% vs 16.4% (YoY) vs 16.6% (QoQ). (Margin was hit by lower utilization @ 83% vs 85% last quarter ; One-off in nature during festive season of Diwali utilization dropped to 75% because of holidays taking overall utilization to 83% & uptick in other expenses associated with the administrative and advertisement expense)
- Adj PAT at ₹320 Mn vs ₹351 Mn (-8.8% YoY) vs ₹378 Mn (-15.3% QoQ)
- EPS at ₹8.32 vs ₹9.12 (YoY) vs ₹9.82 (QoQ)

Business Highlights

- Buy-Back Update:** Amount Allotted: Rs 750mn (utilized till date Rs.410mn)
- Announced dividend of Rs. 3 per share in Q3 FY23, taking the 9MFY23 dividend to Rs. 6 per share
- Added 28 new branches for 9MFY23
- Aims to add 3 new automated sorting centres in tenure of 2 years
- Planned Capex of Rs. 5,000 Mn in 5 years (FY23-FY28)

Financial Summary

Y/E Mar (Rs mn)	FY 20	FY 21	FY 22	FY 23E	FY 24E
Net sales	10,320	8,440	10,815	12,732	14,642
EBIDTA	1,213	1,343	1,747	2,024	2,497
Margins	11.8	15.9	16.2	15.9	17.1
PAT (adj)	891	1,006	1,288	1,485	1,831
growth (%)	22.3	12.9	28.1	15.3	23.3
EPS	23.2	26.2	33.5	38.6	47.6
P/E (x)	80.5	71.5	55.9	48.5	39.3
P/B (x)	21.3	16.6	13.4	11.0	9.0
EV/EBITDA (x)	58.7	52.8	40.6	35.0	28.1
RoE (%)	26.4	23.2	24.0	22.7	22.8
ROCE (%)	33.4	28.8	30.7	28.7	29.1

Source: Dalal and Broacha

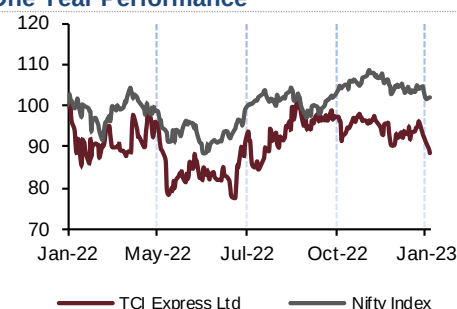
Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	1,872	9

Market data

Current price	Rs	1,720
Market Cap (Rs.Bn)	(Rs Bn)	66
Market Cap (US\$ Mn)	(US\$ Mn)	810
Face Value	Rs	2
52 Weeks High/Low	Rs	2100 / 1442.05
Average Daily Volume	('000)	43
BSE Code		540212
Bloomberg		TCIEXP.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-22	Sep-22
Promoters	66.87	66.66
Public	33.13	33.34
Total	100	100

Source: BSE

Kunal Bhatia
+91 22 67141442
kunal.bhatia@dalal-broacha.com

Bhavya Gandhi
+91 22 6714 1486
bhavya.gandhi@dalal-broacha.com

What makes TCI Express different?

Unique Asset Light Model (rent rather than own vehicles) has allowed TCI Express to maintain higher capacity utilization and deliver strong EBITDA margins even in the challenging times. Its business mix of SME:Corporates at 50:50 helps maintain margin

Conference Call Highlights

- **Guidance & Price Hike**
 - **FY23 Guidance**
 - Revised revenue guidance to 16-17% vs earlier at 18-20% (our model estimates @ 16.3%)
 - **FY25 Guidance**
 - Aim to touch revenue of Rs.19Bn (Seems unachievable in our view at current runrate)
 - **Price Hike**
 - Price increase ~0.5% for 9MFY23 (Lower vs annual average of 2% due to poor environment along with high rise inflation)
- **Volume Details**
 - 9MFY23 @ 7,30,000T Vs 6,30,000T L.Y. (+15.8% YoY)
 - Q3FY23 @ 2,53,000T Vs 2,30,000T L.Y. (+10% YoY)
- **Network Expansion**
 - Branches added +28 YTD (Yearly target of 50 branch addition now revised to 40 branches ; Q3FY23 : +7) **(Negative)** ; FY24 branch addition target @ 100 branches
- **Capex for 9MFY23 @ Rs.985 Mn**
 - Rs.450 Mn towards purchase of land for a new corporate office in Gurgaon ; Rs.200 Mn towards land for setting up a new automated sorting center in Kolkata & balance for land acquisition in Ahmedabad
- **Other Details**
 - Rail Express business EBITDA margin in the range of 18-20%
 - New service contribution @ 18% of overall revenue (15% L.Y. ; Aim to take it to 25% of overall revenue by FY25)
 - Other expenses to continue in the range of Rs.180-190Mn
 - SME : Corporates Mix = 50% : 50%
 - Receivable days @ 50 days since one decade **(Positive)**

Quarterly Financials

Rs MNS	Q3FY23	Q3FY22	Growth	Q2FY23	Growth
Sales	3144.2	2869.2	9.6	3099.0	1.46
Other income	13	20.7	(37.2)	22.7	(42.73)
Total Revenue:	3157.2	2889.9	9.2	3121.7	1.14
Expenses:-					
Operating Expenses	2188.9	1951.4	12.2	2106.5	3.91
% to Operating Income	69.6%	68.0%		68.0%	
Employee benefit expenses	311.8	277.3	12.4	309.0	0.91
% to Operating Income	9.9%	9.7%		10.0%	
Other expenses	182.70	168.70	8.3	168.70	8.30
% to Operating Income	5.8%	5.9%		5.4%	
Total Expenses	2,683.40	2,397.40	11.9	2,584.20	3.84
EBITDA (exc OI)	460.80	471.80	(2.3)	514.80	(10.49)
EBITDA Margin %	14.66%	16.44%		16.61%	
EBITDA	473.80	492.50	(3.8)	537.50	(11.85)
Depreciation	42.90	22.30	92.4	34.90	22.92
Interest	4.4	1.9	131.6	3.5	25.71
PBT	426.50	468.30	(8.9)	499.10	(14.55)
PBT %	13.56%	16.32%		16.11%	
Tax expenses	106.30	117.10	(9.2)	121.20	(12.29)
<i>Tax Rate</i>	<i>24.9%</i>	<i>25.0%</i>		<i>24.3%</i>	
PAT	320.20	351.20	(8.8)	377.90	(15.27)
Adjusted PAT	320.20	351.20	(8.8)	377.90	(15.27)
NPM	10.14%	12.15%		12.11%	
Equity	77	77	-	77	-
EPS	8.32	9.12	(8.8)	9.82	(15.27)

Valuation & Outlook

The management is confident of reaching Rs.19bn turnover by FY25 seems unachievable at current runrate i.e. CAGR growth of ~23% (considering 2 years from FY23)

However,with superior execution capabilities company can easily achieve revenue growth of 2x GDP averaging to 15-17% revenue growth.Also with new automated sorting centres coming up 50 bps improvement every year seems realistic.

Capex of Rs.450 Mn for corporate office land acquisition seems poor capital allocation by management especially when management is able to generate RoCE upwards of 30%+ & rental yields are quite lower in India

Key triggers going forward will be the overall economic & demand environment & utilisation levels.Also buy-back of Rs.750 Mn will be key to watch as only Rs,410 Mn is utilised till date & 13th February is the last date for buy-back {Maximum buy-back price Rs.2050 – through open market route}

AT CMP of Rs 1,721 the stock trades at 48x FY23e EPS of Rs 35.5 and 39x FY24e EPS of Rs 44.6. We maintain “Buy on Dips” with a revised target price of Rs 1,872 valuing company at 42x FY24e EPS.We have revised our FY24E EPS estimates on downward side.

Financials

P&L (Rs mn)	FY19E	FY20	FY21	FY22	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY19E	FY20	FY21	FY22	FY23E	FY24E
Net Sales	10,237.9	10,319.6	8,439.9	10,814.6	12,576.7	14,463.2	Net Profit	728.4	890.8	1,006.0	1,288.5	1,368.0	1,715.9
Raw Materials	(7,533.8)	(7,341.6)	(5,667.3)	(7,329.7)	(8,654.1)	(9,767.2)	Add: Dep. & Amort.	65.3	77.9	89.7	99.8	152.0	173.0
Employee Cost	(858.5)	(1,018.0)	(873.4)	(1,099.4)	(1,264.3)	(1,454.0)	Cash profits	793.7	968.7	1,095.7	1,388.3	1,520.0	1,888.8
Other Expenses	(655.7)	(747.0)	(556.0)	(638.3)	(767.0)	(868.2)	(Inc)/Dec in						
Operating Profit	1,189.9	1,213.0	1,343.2	1,747.2	1,891.2	2,373.8	-Sundry debtors	(87.6)	(26.3)	(36.9)	(200.8)	(308.8)	(330.6)
Depreciation	(65.3)	(77.9)	(89.7)	(99.8)	(152.0)	(173.0)	-Inventories	-	-	-	-	-	-
PBIT	1,124.6	1,135.1	1,253.5	1,647.4	1,739.2	2,200.9	-Loans/advances	(26.9)	(23.7)	(51.4)	(152.2)	(35.6)	(39.1)
							-Current Liab and						
Other income	31.9	43.7	76.5	81.7	104.9	111.2	Provisions	46.8	(104.3)	180.3	66.7	114.1	147.0
Interest	(37.8)	(9.0)	(7.8)	(9.1)	(16.0)	(19.1)	Change in working capital	(67.7)	(154.3)	92.0	(286.3)	(230.2)	(222.7)
PBT	1,118.7	1,169.8	1,322.2	1,720.1	1,828.1	2,293.0	CF from Oper. activities	726.0	814.4	1,187.7	1,102.0	1,289.7	1,666.1
Exceptionals	-	-	-	-	-	-							
Profit before tax (post exceptional)	1,118.7	1,169.8	1,322.2	1,720.1	1,828.1	2,293.0	CF from Inv. activities	(252.7)	(598.6)	(1,005.1)	(944.1)	(739.8)	(615.3)
Provision for tax	(390.3)	(279.0)	(316.2)	(431.6)	(460.1)	(577.1)							
Reported PAT	728.4	890.8	1,006.0	1,288.5	1,368.0	1,715.9	CF from Fin. activities	(424.0)	(260.9)	(36.3)	(250.2)	(218.2)	(333.2)
MI	-	-	-	-	-	-							
Net Profit	728.4	890.8	1,006.0	1,288.5	1,368.0	1,715.9	Cash generated/(utilised)	49.3	(45.1)	146.3	(92.3)	331.7	717.6
Adjusted Profit (excl Exc	728.4	890.8	1,006.0	1,288.5	1,368.0	1,715.9	Cash at start of the year	121.8	171.1	126.0	272.3	180.0	511.7
							Cash at end of the year	171.1	126.0	272.3	180.0	511.7	1,229.4
Balance Sheet	FY19E	FY20	FY21	FY22	FY23E	FY24E	Ratios	FY19E	FY20	FY21	FY22	FY23E	FY24E
Equity capital	76.6	76.7	76.9	77.0	77.0	77.0	OPM	11.6	11.8	15.9	16.2	15.0	16.4
Reserves	2,595.3	3,296.1	4,261.8	5,284.9	6,379.3	7,752.0	NPM	7.1	8.6	11.8	11.8	10.8	11.8
Net worth	2,671.9	3,372.8	4,338.7	5,361.9	6,456.3	7,829.0	Tax rate	(34.9)	(23.9)	(23.9)	(25.1)	(25.2)	(25.2)
MI	-	-	-	-	-	-							
Non Current Liabilities	78.0	61.5	65.0	81.9	139.9	149.9	Growth Ratios (%)						
							Net Sales	15.7	0.8	(18.2)	28.1	16.3	15.0
Current Liabilities	1,039.8	881.0	1,061.6	1,126.5	1,238.0	1,385.1	Operating Profit	31.3	1.9	10.7	30.1	8.2	25.5
							PBIT	31.6	0.9	10.4	31.4	5.6	26.5
CAPITAL EMPLOYED	3,789.7	4,315.3	5,465.3	6,570.3	7,834.2	9,363.9	PAT	24.7	22.3	12.9	28.1	6.2	25.4
Non Current Assets	1,859.0	2,093.8	2,708.0	3,269.4	4,120.6	4,563.0	Per Share (Rs.)						
							Net Earnings (EPS)	19.0	23.2	26.16	33.47	35.53	44.57
Fixed Assets	1,744.3	1,965.3	2,561.3	3,258.9	4,110.1	4,551.4	Cash Earnings (CPS)	20.7	25.3	28.5	36.1	39.5	49.1
Goodwill	-	-	-	-	-	-	Dividend	2.9	4.6	4.0	8.0	7.1	8.9
Non Current Investments	114.7	128.5	146.7	10.5	10.5	11.6	Book Value	69.8	87.9	112.8	139.3	167.7	203.3
Deferred Tax Asset	-	-	-	-	-	-	Free Cash Flow	12.4	5.6	4.7	4.1	14.3	27.3
Long Term Loans and Advances	-	-	-	-	-	-							
							Valuation Ratios						
Current Assets	1,930.7	2,221.5	2,757.3	3,300.9	3,713.6	4,801.0	P/E(x)	90.5	74.1	65.8	51.4	48.4	38.6
Current investments	-	285.9	587.1	870.0	606.6	606.6	P/B(x)	24.7	19.6	15.3	12.4	10.3	8.5
Inventories	-	-	-	-	-	-	EV/EBIDTA(x)	55.2	54.0	48.5	37.3	34.5	27.2
Trade Receivables	1,631.4	1,657.7	1,694.6	1,895.4	2,204.2	2,534.9	Div. Yield(%)	0.2	0.3	0.2	0.5	0.4	0.5
Cash and Bank Balances	171.1	126.0	272.3	180.0	511.7	1,229.4	FCF Yield(%)	0.7	0.3	0.3	0.2	0.8	1.6
Short Term Loans and Advances	85.1	91.9	-	-	-	-							
Other Current Assets	43.1	60.0	203.3	355.5	391.1	430.2	Return Ratios (%)						
							RONW	27%	26%	23%	24%	21%	22%
CAPITAL DEPLOYED	3,789.7	4,315.3	5,465.3	6,570.3	7,834.2	9,363.9	ROCE	41%	33%	29%	31%	27%	28%
							Net D/E	0.0	0.0	0.0	0.0	0.0	0.0

Source: Dalal & Broacha Research, Company

Disclaimer

Dalal & Broacha Stock Broking Pvt Ltd, hereinafter referred to as D&B (CINU67120MH1997PTC111186) was established in 1997 and is an integrated financial services player offering an extensive range of financial solutions and services to a wide spectrum of customers with varied needs ranging from equities to mutual funds to depository services.

D&B is a corporate trading member of Bombay Stock Exchange Limited (BSE), National Stock Exchange of India Limited (NSE). D&B along with its affiliates offers the most comprehensive avenues for investments and is engaged in the securities businesses including stock broking (Institutional and retail), depository participant, portfolio management and services rendered in connection with distribution of primary market issues and financial products like mutual funds, fixed deposits. Details of associates are available on our website i.e. www.dalal-broacha.com

D&B is registered as Research Analyst with SEBI bearing registration Number INH000001246 as per SEBI (Research Analysts) Regulations, 2014.

D&B hereby declares that it has not defaulted with any stock exchange nor its activities were suspended by any stock exchange with whom it is registered in any time in the past. It has not been debarred from doing business by any Stock Exchange / SEBI or any other authorities; nor has its certificate of registration been cancelled by SEBI at any point of time.

SEBI and Stock Exchanges have conducted the routine inspection and based on their observations have issued advice letters or levied minor penalty on D&B for certain operational deviations in routine course of business.

D&B offers research services to clients as well as prospects. The analyst for this report certifies that all of the views expressed in this report accurately reflect his or her personal views about the subject company or companies and its or their securities, and no part of his or her compensation was, is or will be, directly or indirectly related to specific recommendations or views expressed in this report.

Other disclosures by D&B (Research Entity) and its Research Analyst under SEBI (Research Analyst) Regulations, 2014 with reference to the subject company(s) covered in this report:-

D&B or its associates may have financial interest in the subject company.

D&B or its associates do not have any material conflict of interest in the subject company.

The Research Analyst or Research Entity (D&B) has not been engaged in market making activity for the subject company.

D&B or its associates may have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report.

Disclosures in respect of Research Analyst:

Whether Research Analyst or his/her relatives have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report:	No
Whether the Research Analyst or his/her relative's financial interest in the subject company.	No
Whether the research Analyst has served as officer, director or employee of the subject company	No
Whether the Research Analyst has received any compensation from the subject company in the past twelve months	No
Whether the Research Analyst has managed or co-managed public offering of securities for the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation or other benefits from the subject company or third party in connection with the research report	No

D&B and/or its affiliates may seek investment banking or other business from the company or companies that are the subject of this material. Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein, and our proprietary trading and investing businesses may make investment decisions that may be inconsistent with the recommendations expressed herein.

In reviewing these materials, you should be aware that any or all of the foregoing, among other things, may give rise to real or potential conflicts of interest including but not limited to those stated herein. Additionally, other important information regarding our relationships with the company or companies that are the subject of this material is provided herein. This report is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject D&B or its group companies to any registration or licensing requirement within such jurisdiction. Specifically, this document does not constitute an offer to or solicitation to any U.S. person for the purchase or sale of any financial instrument or as an official confirmation of any transaction to any U.S. person. Unless otherwise stated, this message should not be construed as official confirmation of any transaction. No part of this document may be distributed in Canada or used by private customers in United Kingdom. All material presented in this report, unless specifically indicated otherwise, is under copyright to D&B. None of the material, nor its content, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party, without the prior express written permission of D&B. All trademarks, service marks and logos used in this report are trademarks or registered trademarks of D&B or its Group Companies. The information contained herein is not intended for publication or distribution or circulation in any manner whatsoever and any unauthorized reading, dissemination, distribution or copying of this communication is prohibited unless otherwise expressly authorized. Please ensure that you have read "Risk Disclosure Document for Capital Market and Derivatives Segments" as prescribed by Securities and Exchange Board of India before investing in Indian Securities Market. In so far as this report includes current or historic information, it is believed to be reliable, although its accuracy and completeness cannot be guaranteed.

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.
Tel: 91-22- 2282 2992, 2287 6173 | E-mail: equity.research@dalal-broacha.com